

Q3 2021 Earnings Call

Company Participants

- Cameron Donahue, Investor Relations
- Edwin F. Negron-Carballo, Chief Financial Officer
- John Fieldly, Chief Executive Officer

Other Participants

- Anthony Vendetti, Analyst, Maxim Group
- Jeff Van Sinderen, Analyst, B. Riley
- Jeffrey Cohen, Analyst, Ladenburg Thalmann
- Kaumil Gajrawala, Analyst, Credit Suisse
- Kevin Grundy, Analyst, Jefferies
- Sean McGowan, Analyst, ROTH Capital Partners

Presentation

Operator

Greetings and welcome to Celsius Holdings Inc Third Quarter 2021 Financial Results. At this time, all participants are in a listen-only mode. A question-and-answer session will follow the formal presentation. (Operator Instructions) As a reminder, this conference is being recorded. It is now my pleasure to introduce your host, Cameron Donahue, Investor Relations for Celsius Holdings. Thank you. You may begin.

Cameron Donahue {BIO 16529132 <GO>}

Thank you and good morning, everyone. We appreciate you joining us today for Celsius Holdings' Third Quarter 2021 Earnings Conference Call. Joining me on the call today are John Fieldly, Chairman, President and Chief Executive Officer; and Edwin Negron, Chief Financial Officer.

Following the prepared remarks, we'll open the call to your questions and instructions will be given at that time. The Company released our earnings press release pre-market this morning. All materials will be available on the company's website celsiusholdingsinc.com under the Investor Relations section. As a reminder, before I turn the call over to John, an audio replay will be available later today.

Please also be aware that this call may contain forward-looking statements which are based on forecasts, expectations and other information available to management as of November 11th, 2021. These statements involve numerous risks and uncertainties,

including many that are beyond the company's control. Except to the extent as required by law, Celsius Holdings undertakes no obligations and disclaims any duty to update any of these forward-looking statements. We encourage you to review in full our safe harbor statements contained in today's press release and our quarterly filings with the SEC for additional information.

With that, let me turn the call over to Chief Executive Officer, John Fieldly for opening comments. John?

John Fieldly {BIO 17560616 <GO>}

Thank you, Cameron and good morning, everyone and thank you for joining us today. In the third quarter, Celsius not only achieved another sales record for the quarter, but beat our previous quarterly record from Q2 by almost 50%, beating by 46% growth on a sequential basis from Q2 2021. The company accomplished this exponential growth despite the tremendous supply chain constraints that continue to impact the industry. In order to hit the majority of our of our orders during the quarter, we did have to sacrifice efficiencies on the margin side, which we believe are either one-time costs or short term in nature with specific identifiable processes we are implementing to improve our margin profile going forward. The largest one-time costs impacting margins during the quarter stem from the build out of our six orbit distribution warehouse centers, which we announced in the second quarter. We expect to see tangible efficiencies in both miles on cases freight costs as well as reduced inventory stock-outs with our distribution partners going forward from this initiative, but we did have incremental cost in Q3 as we essentially moved from two main warehouse centers to six, while also significantly expanding inventory runs with our co-packers.

With this, we had excess freight costs, as we built out and optimized inventory levels across our warehouses, which is reflected in our cost of goods and we estimate in margins by approximately 3% for the quarter. In addition, we experienced increased freight costs associated with higher labor fuel costs, which we are monitoring.

As on average, freight costs have increased industry wide by 20% versus the prior year per DAT Trendlines, who tracks freight trends nationwide. In addition to short-term margin impacts, we continue to utilize international cans sourced, which carry a higher cost. When we place these can orders, we expected the vast majority to come in and be utilized during 2021. Unfortunately, many are still outside of the United States -- are waiting at ports to be unloaded which have been offset by purchasing spot rate cans from the US suppliers, but with the significant increase in aluminum prices, spot rate increased significantly.

With that said, the higher spot rate as well as the higher import cans have impacted margin for the quarter by approximately 5.3%. With that said, we experienced short term and one-time margin impacts during the third quarter, which totaled approximately 7.5%. When taking this into account, our normalized margins would have been approximately 47.2% for the quarter, including outbound freight.

To further optimize our supply chain going forward. We have added two new contracts with two of the top US can manufacturers for 2022, which will move us away from the higher spot rate purchases and international cans. We believe, we have adequate US cans source for '22 -- '22 [ph] to support our growth. We will likely have to cycle through some of the international cans that have been delayed depending on when they arrive and get delivered in the US through the first six months of 2022, but we expect the vast majority of our cans will be from US sourced on a contract basis materially reducing our can costs versus 2021.

Some other cost increases we saw in the third quarter, such as raw materials, co-pack fees, tolling fees and inefficient less than load shipping costs. We expect the majority of these will be offset in 2022, as we continue to negotiate better pricing with our scale. While it remains uncertain (technical difficulty) as one of the lone outliers that have not increased pricing, driven by the top two players in the space. We believe the key factor in that decision is due to the rapid growth in consumer demand for functional performance energy drinks and the associated increase in new brands coming to market.

The smaller scale new entrants pay significant higher shipping, raw materials, co-pack fees, competition and by not taking price, the top two energy drink place an outsized cost on the new entrants entering the market to protect their share. For Celsius, we have reached a critical mass where we will not be impacted our ability to grow, as evidenced by the record third quarter and the only downside is that some of the expedited scale based incremental margin improvements are off -- being offset by cost increases that are not transitory. Even with that, longer-term, we expect margin expansion throughout 2022. As stated prior, we have identified one time and short-term cost increases and have planned strategies to mitigate, as we continue to optimize and transition our stores to DSD distribution with further future scale-based benefits with our current growth trajectory.

To conclude, our margin analysis, as we recognize revenue growth rates more than double in North America to over 200% and continue to accelerate further. We made a cautious decision in the third quarter to ensure that we had the operational infrastructure to support our revenue growth to much higher levels to fully take advantage of the opportunities to take market share at an increased pace.

As such, we accelerated initiatives on several operational improvements to position us for exponential future growth, which impacted margins by approximately 7%. Just from the one-time items in the third quarter. Additional incremental near-term benefits will be recognized if price increases are initiated [ph] by the top brands to our 2022 expectation. In the meantime, we are implementing and further evaluating our promotional strategies.

We wanted to ensure we provided a detailed breakdown on margins and that our forward expectations of continued leverage remain unchanged before we detailed the record achievements accomplished in the third quarter. Our record third quarter results are representative of the momentum that the Celsius brand is achieving across the board. Revenue growth, driven by continued new store additions, SKU

expansion, KOL placements, DSD coverage expansion, as well as continuing to transitioning existing accounts, brand recognition, influencers organically supporting Celsius are just a subset of the drivers that accumulated in the record for third quarter results in North America. Total sales for the quarter totaled \$94.9 million up 150% from \$36.8 million in the year ago quarter.

Our domestic sales revenue increased 214% to \$84.5 million, up from \$26.9 million in the year ago quarter with both of these percentage growth rates, the highest in our history and the North America sales up 58% from the second quarter sequentially. We continue to see two of our hardest hit channels from COVID, our fitness channel and our vending channel not only rebound by the drive of new sales records with again reaching triple-digit growth rates and contributing approximately \$5.2 million incremental revenue when compared to the prior year. International sales grew 5% to \$10.4 million for the quarter and 18% through the first nine months of this year. We are still dealing with the impacts of COVID-19 most pronounced in the European markets with all markets facing increased costs in raw materials, transportation, our EU, Middle East, Southeast Asia and Australia operations remain adversely affected by COVID-19 with varying restrictions and lockdowns in the markets. Overall, we continue to see quarterly improvements over -- quarter-over-quarter with capacity restrictions as well as reopenings in the hardest hit channels but there still remains uncertainty as there could be potential re-closings due to new variants during the winter months and case increases in the regions of operations, which could force closures in some states and countries.

Turning to some additional financial highlights for the quarter, our domestic revenue reached at \$85.4 million was driven by accelerated triple growth in our channels of trade, expansion with world-class retailers, further activation and growth from our distribution partners. Direct store delivery network grew over 429% in revenues when compared to the prior year. Also our club channel continues to accelerate. Following the expansion rollout of over 550 plus COSCO stores in -- late Q2 to Q3, COSCO growth now has been listed as just over a 10% revenue customer. We are also now rolling out onto their platform cosco.com, in addition Sam's Club, we are launching in several test markets during the fourth quarter, driven by the strong growth in Walmart.

On the convenience channel side in North America, the latest SPINS data shows a growth of 205.5% year-over-year increase for the Celsius product portfolio in the convenience channel compared to a 13.6% overall growth in the energy drink category as of October 3rd of 2021 last 12 weeks. While during the same period, our ACV increased a 118% versus the prior year to 34.7% total ACV average.

Industry-backed third-party data continues to show accelerated growth metrics and we are confident that Celsius will continue to drive sales, even higher as we continue to accelerate our ACV across channels through additional launches with new nationwide chains and transitioning existing accounts into our DSD network. Consumer demand for Celsius accelerated through the third quarter of 2021 to record levels with the most recent Nielsen scan data, as of October 23, 2021 showing Celsius sales up over 205% year-over-year for the two weeks plus 213% for the four

weeks and plus 204% for the 12 weeks with a two share of the Energy Drink category overall for the last four weeks. This compares to total energy drink category, which grew 14% year-over-year for the two weeks ending and 12% for the 12 weeks ending over the same period.

On Amazon, Celsius is the second largest energy drink with a 18.4 share of the Energy Drink category, 2.88% ahead of Red Bull at a 15.5 share and just 7.6 share behind Monster Energy at 25.9 share last four weeks ending October 30, 2021 per stack line Energy Drink category total US. Transitioning to DSD continue (technical difficulty) remains a top priority with our retail partners due to the increased velocities that are gained to the preferred route to market. Today per our latest MULO retail sales data, we estimate that we have transitioned and initially optimized approximately 50% of the stores reporting in to SPINS MULO channel and have planned -- further plans and expansion with additional DSD partners through the back half of Q4 and into 2022, some of the key retailers that have transitioned over 75% of their stores include Target, Walmart, Racetrack, Kroger, Circle K, Speedway, Murphy's USA with CVS and 7-11 also expanding in other markets.

Historically, it takes on average two to three months to optimize stores, once they have transitioned to DSD before we can see that increased velocity levels. In addition to transitioning retailers and activating our DSD network, we continue to rollout Celsius branded coolers in the third quarter with an additional 400 coolers placed and over 900 coolers to the first nine months of 2021. We have also implemented comprehensive tracking tools in place to monitor accelerated growth metrics with our retail partners and we plan additional cooler expansion initiatives through the remainder of 2021 with accelerated rollout in 2022.

Today in the United States, our total door count now exceeds 118,000 locations nationally growing 38,000 doors or 48% from the beginning of 2021 with additional expansion planned throughout 2021 and into through 2022, as retailer resets take place.

In Europe, our Nordic sales totaled \$9.5 million compared to a similar amount in the prior year. The topline revenue was impacted by a pullback in inventory fills in during (technical difficulty) our new global can launch in September, which also included a great fresh Apple flavor. Our relaunch of the Celsius brand on our global uniform can design platform presents a great opportunity for further growth and synergistic alignment globally.

Our market share in Sweden did decrease early in the third quarter with the pending can new redesign and launch but increased to 9.3% of the total energy market in Sweden in September. In Finland, we launched a mint chocolate bar with a holiday theme wrap highlighted with in-store displays to secure space during the holiday season. We also launched a great tasting new RTD protein line, which is launching in the fourth quarter with initial orders of over 300,000. We believe this is a great test market for our products with additional geographic expansion opportunities. Additionally, the FAST portfolio bar launched in the US, sales have been going extremely well and actually increased 50% in the third quarter from the prior QT run

rate validating the opportunity for further US expansion and potentially expanding in the fitness channel in 2022.

We recently also launched on Amazon EU, expanding -- expansion begin in the United Kingdom with launched three flavors, six FAST bars and Germany also expanded and launched today, most recently with three flavors of the CELSIUS portfolio and we expect additional EU countries to come online in the fourth quarter and in Q1.

In China, we are maintaining a licensing royalty model in the market where our distribution covers approximately 76 cities and approximately 60,000 locations and we see great opportunities in this growing market. Now, moving to the marketing. On a marketing front, we continue to accelerate and target new consumers and existing consumers, where they live, work and play, building meaningful and emotional connections through robust integrated marketing programs, reaching more consumers each and every day.

We're not only driving growth in the energy category but are also expanding the demographics, while bringing an industry-leading percentage of consumers from outside the category who are new. We have also reached another inflection point in our operations and growth, one which position Celsius for exponential growth and market share gains. We have committed the resources both in personnel and operational infrastructure to maximize this opportunity and support the incremental growth drivers our national DSD distribution platform has opened and the convenience store channel in the United States.

We are also not only seeing significant expansion in ACV across all channels, but doing so, while increasing our velocities at retail. We are in a unique position to see material concurrent growth in both due to, we are just materially entering the most productive convenience channel in the United States while transitioning our existing accounts to DSD network, where we have seen incremental growth post transition. Our team is ready, our infrastructure is in place to support the sales growth, we expect on an expedited basis.

I will now turn the call over to Edwin Negron-Carballo, our Chief Financial Officer for his prepared remarks. Edwin?

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you, John. Our third quarter revenue for the three months ended September 30, 2021 was \$94.9 million, an increase of \$58.1 million or a 158% from \$36.8 million for the three months ended September 30, 2020. 99% of this growth was a result of increased revenues from North America where third quarter revenues for 2021 were \$84.5 million or an increase of \$57.6 million or a robust 214% [ph] from \$26.9 million in the 2020 quarter.

The balance of the revenues for the 2021 quarter were mainly related to European revenues of \$9.5 million, which were similar to the prior year quarter. Asian revenues,

which include royalty revenues from our China licensee contributed an additional \$706,000 an increase of a 157% from \$275,000 for the prior year quarter.

Other international markets generated \$177,000 in revenues during the three months ended September 30, 2021, an increase of \$32,000 or 22% from a \$145,000 for the prior year quarter. Gross profit for Q3 increased by \$20.2 million or a 115% to \$37.7 million from \$70.5 million for the three months ended September 30, 2020.

Gross profit margins reflected a decrease to 40% for the three months ended September 30, 2021 from 47.6% for the 2020 quarter. Excluding freight out as some of our competitors do not include this charge as a cost of goods sold, our adjusted gross margin for the 2021 quarter was 49.8% compared to 53.7% in the third quarter of 2020.

The increase in gross profit dollars is mainly related to increases in volume, while the decrease in gross profit margins is mainly related to higher raw material costs, Ocean freights, transportation costs and repackaging costs. We estimate that the increase in gross profit dollars of \$20.2 million included \$28 million related to volume increases and unfavorable cost impact of \$7.4 million and a favorable currency impact of \$31,000.

Sales and marketing expenses for the three months ended September 30, 2021 were \$22.6 million, an increase of \$14.4 million or a 174% from \$8.3 million for the three months ended September 30, 2020. This increase was mainly related to higher marketing investment activities, which resulted in an increase of \$7.7 million when compared to the prior year quarter.

Additionally, employee cost increased by \$2.6 million from the year ago quarter as we continue to invest in this area in order to have the proper infrastructure to support our growth as well as incurred in additional travel and business expenses, since we're now able to resume in market -- in person marketing events and selling activities.

Similarly, we experienced increases in other sales and marketing expenses in the amount of \$400,000, mainly related to trade marketing activities to support our ongoing DSD network expansion. Lastly, storage and distribution expenses, as well as broker costs accounted for the remainder of the increase in this area in the amount of \$3.7 million from the year ago quarter.

As a percentage of revenue, sales and marketing expenses were 23.8% of revenue in the third quarter of 2021 compared to 22.6% in the third quarter of 2020. General and administrative expenses three months ended September 30, 2021 were \$11.1 million, an increase of \$6.4 million or a 134% from \$4.8 million for the three months ended September 30, 2020.

This increase was mainly related to stock option expense, which amounted to \$5.8 million for the three months ended September 30, 2021, an increase of \$3.7 million,

which accounts for 50% of the total increase in this area when compared to the prior year quarter. Management deems it very important to motivate employees by providing them ownership in the business in order to promote their overperformance.

Additionally employee costs for the three months ended September 30, 2021 reflect an increase of \$1 million or a 108% as investments in this area are also required to properly support our higher business volume. Administrative expenses amounted to \$2.6 million or an increase of \$1.3 million or 97% when compared to the prior year quarter.

This variance is mainly related to an increase in bad debt reserve of \$200,000, an increases in audit costs, legal expenses, insurance costs and office rent account for the majority of the remaining fluctuation of \$1.1 million. Depreciation and amortization increased by \$200,000, when compared to the prior year quarter.

Lastly, all other administrative expenses, which were mainly composed of research, development, and quality control testing increased by \$235,000 when compared to the second quarter of 2020. As a percentage of revenue, general and administrative expenses were 11.7% in the third quarter of 2021, when compared to 12.9% for the prior year quarter.

If we then exclude the non-operational stock option expense, general and administrative expenses for the 2021 quarter would amount to only 6% of revenues. Now turning to other income and expenses. Total net other expenses for the three months ended September 30, 2021 amounted to \$353,000, which reflect an increase of \$593,000 when compared to net other income of \$240,000 for the three months ended September 30, 2020.

The net other expense of \$353,000 is composed of foreign currency exchange losses of \$328,000, net other expenses of \$97,000, interest income of \$77,000 related to the note receivable from our China licensee, which were partially offset by other interest expenses of \$4,500.

Net income. As a result of the above, net income for the three months ended September 30, 2021 was \$2.7 million or \$0.04 per share based on a weighted average of 74.6 million shares outstanding and dilutive earnings of \$0.04 per share based on a fully dilutive weighted average of 78.4 million shares outstanding. In comparison, for the three months ended September 30, 2020, the Company had net income of \$4.8 million or \$0.07 per share based on a weighted average of 70.4 million shares outstanding and a dilutive earnings per share of \$0.06 based on a fully dilutive weighted average of 74.8 million shares outstanding.

Focusing now on liquidity and capital resources. As of September 30, 2021 and December 31, 2020, we had cash of \$61.4 million and \$43.2 million respectively and working capital of a \$157 million and \$65 million respectively with no long-term debt. Cash flows used in operating activities totaled \$52 million for the nine months ended

September 30, 2021, which compares to \$3.8 million of net cash provided by operating activities for the nine months ended September 30, 2020.

The use of cash is mainly related to the increase in our inventory levels in order to properly service demand for our Celsius products. Inventory increased by \$104 million during the nine-month period ended September 30, 2021. Sequentially inventory increased \$58 million during the second quarter of 2021. Without the significant increase in inventory, cash flow from operations for the nine months ended 2021 would have totaled \$52 million.

This concludes our prepared remarks. Operator, you may now open the call for questions. Thank you.

Questions And Answers

Operator

Thank you, ladies and gentlemen. At this time, we will be conducting a question-and-answer session. (Operator Instructions). Our first question comes from the line of Kaumil Gajrawala with Credit Suisse. Please proceed with your question.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Hi guys, thanks for taking the -- taking the call. A couple of questions on -- the first one I guess, prepared remarks went a little fast. Can you just, when you were talking about pricing, did you say you have intentions to take price or that you're not taking pricing because of competition?

A - John Fieldly {BIO 17560616 <GO>}

Hi Kaumil, thank you for your questions. Right now we are evaluating it and we're really keeping a close eye on the market and obviously the lot -- top two players. But we are doing pricing strategies in regards to promotional strategies as we go forward and pricing architecture within the portfolio. But, it is something we're looking at as we go forward, we do feel based on these one-time charges that were here to stay, importing of cans, as well as the freight cost fee -- increases in freight costs, we've seen really moving to the six orbit model that we talked about in the past. We can get back to more of a normalized gross profit, once we cycle through the imported cans and move away from the spot rate purchases, but it is something, definitely we're looking at, as we continue to go forward. We're seeing transitory increases and a variety of other cost. The question if that [ph] was permanent or transitory, which we're evaluating.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

And just your best guess from what you're seeing in the market at the moment, does it look like the competition is reducing promo, taking price in a way that would make it possible for you guys to follow?

A - John Fieldly {BIO 17560616 <GO>}

We are seeing that in the marketplace by other players in regards to promotional strategy. So we're not the anomaly out there.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Got it. And then if I can -- if I can ask a little bit about maybe dissecting the growth between the incremental contribution of all the distribution gains that you're winning versus kind of a equivalent of same-store sales. I don't know, if you can give us precise figures. But, at least maybe give us some guidance on the growth which has been substantial. Is it 50-50 new distribution versus old? Is it 70-30? Can you give us a rough idea?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, I think when you look at the numbers. It's -- it's quite a. The team is doing a great job number one with Coke Energy coming out, we all know that was discontinued. We were able to pick up a lot of incremental points of distribution and taking advantage of that. So, when you look at the number of stores that the team was able to capture during the period, which keep in mind is outside of normal reset windows. So, that was a great win for us during the quarter. We're seeing same-store sales further increase as we move to migrate them more over to our DSD network. Our DSD network performed phenomenally during the quarter when we were up over 400% there, so the team is doing a great job, we got lot of good processes in place to currently continue to optimize. We are nowhere near fully optimized, within the distribution network where we are putting processes in place, team members. We've hired a variety of great team members that are well experienced and capable to continue to drive revenues here.

And we also have our cooler replacement strategy, where we see great opportunities there to further leverage, as when we replace the cooler with Celsius, we see exponential growth there in their existing accounts. So, lots of opportunities on all fronts and we got strategies in place to leverage.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Okay and then just finally on what you're seeing in terms of the gyms and fitness business seems to have very notably turned around. I understand there will be a mix effect away from that business, but maybe just what you're seeing in that channel would be helpful?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, I really like I highlighted the fitness channel, obviously that's been a core for Celsius since its inception. And it's great to see it continue to rebound there. Lots of opportunities, I mean that's great seeing everyone going back, I think that just goes and further shows you the opportunity we have at Celsius, healthier better for you, fitness forward position. Celsius is aligned with today's health-minded consumer. The health and wellness trends are even stronger now than ever before and the transition is taking place, and it's affecting the energy category.

So, we're in a really good spot. I think that's just good indicators to see that that channel come back even in a stronger pace.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Okay, great, thank you guys.

A - John Fieldly {BIO 17560616 <GO>}

Thank you.

Operator

Our next question comes from the line of Kevin Grundy with Jefferies. Please proceed with your question.

Q - Kevin Grundy {BIO 16423871 <GO>}

Great, thanks, good morning, guys and congratulations on the continued momentum. I wanted to kind of pick up on the same line of questioning, just around the US business, specifically and the conversion to DSD. We look at the Nielsen data, the distribution gains look great and importantly the velocity gains quite good as well. John, I think as you rightly pointed out, the brand is still very under-represented in the convenience channel, which is obviously a huge opportunity. Just a handful of questions here on this topic, just confirm, I think the numbers -- 50% accounts have been switched over to DSD at this point, I think the longer-term goal was 80%, just confirm those numbers and how quickly you can get to that long-term goal, relatedly how has distribution velocity tracked relative to the company's own internal expectations?

And then just lastly in this area, do you have any early reads on shelf space, what those gains could look like as you think about next year? And then I've a follow-up. Thank you.

A - John Fieldly {BIO 17560616 <GO>}

Yeah. Thank you, Kevin. In regards to the 50% number, I put out there, in regards to that was MULO reported channels. So, right now we're at 50%. I think a 80 -- still an 80% number is ideal currently with our distribution map and network. We would like that number to go higher. But, I think 80% would be a great number for the company to continue to strive for. We're working on that or as we move into 2022, I think you'll see more of our distribution continuing to convert over and also all the new distribution coming on that we anticipate is most likely being serviced by our distribution network.

When you look at the velocities, the velocities are meeting our internal expectations. Velocities as you've seen in the Scan data has continued to increase. So, even as we're increasing our ACV, which is a good good thing to see there and the brands resonating well. When you look at 2022 space opportunities, we're really excited about that. We just attended NACS, many that are on the call, it's the largest show in

the country, in the US, in the convenience channel, where we had a great booth, a great presence.

And some of the initial feedback we got from the show was really positive. Now, we don't know until resets take place likely around March-April timeframe is usually when they take place in the convenience store industry, but we feel really optimistic there, and initial feedback has been positive. We'll continue to keep everyone updated as we gain more distribution in stores. We won't know until the resets are final, but it was probably one of the best NACS shows we've had in company history. So, really excited about that.

Q - Kevin Grundy {BIO 16423871 <GO>}

Great thanks, John. Just pivoting to the margin outlook, but a little bit more longer-term oriented. I guess I would say, I think there is an expectation in the marketplace that the margin potential here could be substantial over time. John and Edwin for you as well, please. Just your updated thoughts on, broadly your vision for this business, how you're balancing the market share opportunity with the substantial scope for margin improvement, understanding those dynamics are not mutually exclusive, but your updated thoughts there would be helpful. And then I have one last follow-up? Thank you.

A - John Fieldly {BIO 17560616 <GO>}

Sure, Kevin. I think what's interesting, if you look at our average Scan on the, on a per can basis has increased on the 12 week and 24. So we have been reducing our promotions, so that promotional strategy has been taking place and it hasn't decreased the velocity levels. So, we do feel there's opportunities there as we scale. In regards to the overall margins, we've historically said that we can get back to our pre-COVID margin profiles in our existing setup, we feel it is further opportunities to leverage our scale as we drive further volume as well as the synergistic benefits of moving towards our six orbit distribution, our warehouse model, where we can better serve our customers in a more efficient, more effective manner and keep them in stock as well.

So, there's a lot of opportunities there. On a go-forward basis, I would agree with you, there is a lot of margin upside and the team is working on strategies to implement that. I'll turn it over to Edwin as well.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Yeah. Thanks, John. Yeah, absolutely Kevin, I mean one of the things that I wanted to add. You're absolutely right, from my perspective as we continue to gain market share, which translates into additional volume that's going to drive more synergies and as we normalize or the supply chain normalizes going forward that should also benefit. So there is significant opportunities from our standpoint. And as John said, once we start getting the benefits of those six orbits, all those things should have a very good positive effect on margins.

Q - Kevin Grundy {BIO 16423871 <GO>}

Got it. Thank you both. Just one last one from me and then I'll pass it on. So, cash flow running negative but the business requiring investment in coolers also inventory up and up to a degree greater than sales growth. Could you just provide your updated thoughts on your ability to fund the business organically at this point, what are your thoughts for the year? What are your thoughts looking out to next year, as you think about the capital requirements to fund your topline objectives and I'll pass it on? Thank you.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Yeah. Thank you, Kevin. I'll jump in first part of that. In regards to our cash position, we feel we have sufficient cash to meet our demand, our needs on a go forward basis. We did increase inventories that were strategic, we spoke about that prior as well, and we feel we're optimized. We're going to continue to invest in the business, in inventory, personnel and resources as we continue to scale, so we can drive that optimal leverage and reach our goal. So.

A - John Fieldly {BIO 17560616 <GO>}

Sure. Yeah, yeah. I'd like to add. I mean if we back out the inventory aspect or build up, we would deliver over \$50 million of cash flow from operations, even if you back out all the working capital components to have a normalized or pro forma cash flow, we would have delivered over \$13 million of cash. So, I agree -- fully agree with John that we have -- the business is generating sufficient cash flow going forward. And we did made significant investments in the coolers, but again that's going to translate into incremental volume as well.

So I don't -- there's no doubt going forward that we should be able to generate sufficient cash flow.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

And in the quarter, we also if you look at the prepaid balancing, inventory right about \$40 million and that was strategically done to secure raw materials during the inventory constraints that we received in the COVID environment in Q2 and Q3. So, taking that into effect that should normalize and we shouldn't have significant prepaids on a go forward basis as the environment gets more normalization.

Q - Kevin Grundy {BIO 16423871 <GO>}

Very good, Thank you, both. Good luck.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Kevin.

Operator

Our next question comes from the line of Jeff Van Sinderen with B Riley. Please proceed with your question.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Good morning. And let me add my congratulations on the phenomenal revenue growth, just wanted to follow up on a couple of things, on SG&A, I know you mentioned one-time items associated with the six orbit warehouse strategy. Can you maybe speak about any extraordinary costs and expenses you anticipate in Q4 and early '22 around that, just wondering when we should expect those inputs around the six orbit strategy to be more normalized, and then I guess, what sort of contribution to P&L leverage could we see in '22 from that?

A - John Fieldly {BIO 17560616 <GO>}

Yes. Thank you, Jeff. The team is working really hard. I appreciate the question. In regards to forward-looking information, not going to provide any true forward-looking guidance on leverage specifically on that. We do see in the short term, our warehouse cost will increase going to the six orbit, because we are investing ahead of our overall topline revenue. So just keep that in mind that our warehousing cost will increase as we are moving from two warehouses, move to six warehouses, we'll have those into the full fourth quarter and beyond, where revenue needs to scale up to get that margin profile. Also keep in mind also we are investing in marketing as well, events have come back extremely strong in the third quarter and in the fourth quarter.

So the company is investing in marketing really touching those consumers where they live, work and play. But, as we go forward with the growth rates we're seeing, we feel we're making the right moves in infrastructure resources and to really be able to continue to drive top line revenue and market share within the operation channels we're operating it.

Edwin, you want to add any more additional comments?

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Sure. Yeah. And I think, Jeff mentioned in the G&A area. Yeah, we had I mentioned, an increase in the bad debt reserve about \$200,000 and again that's driven by the more volume that we have, we want to be conservative in that area. But yeah, and we're seeing also some increases in professional expenses again to support the business.

So, those kind of things are in there as well and have impacted our profitability.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Okay, fair enough. And then it seems like you have a pretty substantial opportunity to grow the business in Europe, outside of the Nordics. Just wondering if you could speak more about plans for further roll out into Germany and the UK?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, we're really excited to initially start and be able to service those markets through Amazon. So, we're really excited about that opportunity and we're talking to significant larger distributors in those markets as well. Really when you look at the success of the US that is gaining a lot of interest as well overseas with substantial potential partners. So, the company is evaluating. Our main focus is North America as well and continue to optimize and grow in the Nordics. But, as we see opportunities in additional markets, we will continue to evaluate and UK, in Germany, is an area of great opportunity for Celsius. And we expect to further optimize, initial is the rollout with Amazon and we're looking for partners out locally to continue to drive scale.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Yeah, I agree it on. And to me, the key is like John has mentioned, you have a light model there. In other words, go through either partners like Amazon or distributors where we don't have to make a significant investment, set up legal entities in the countries that type of thing and that's a more profitable model and we can invoice in US dollars and avoid any of the FX exposure.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Okay. And if I could just squeeze in one more, just wondering about the rollout of the FAST bars beyond Amazon and also the protein drink lime rollout?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. In regards to the FAST bars, we've been, it's a very methodical approach. We're investing as we see increased sales invest and initially tested it in the second quarter on Amazon. So, we have placed additional orders for the bars. They taste great, initial feedback has been extremely positive in the US. We do, we are currently importing the bars from Europe. So, they have some supply constraints. But we're working with the manufacturer to be able to produce in the US on a go-forward basis.

So, the business is under evaluation, we are really learning about the consumers and how best to go to market to drive scale efficiently and profitably. So, initial feedback has been really positive. Like I said, sales were up 50% on Amazon with the FAST protein snack portfolio in the US. What is very excited as well, the team in Finland launched a new Protein RTD indulgence product line, which is taste extremely amazing, initial feedback has been extremely positive and it launched with initial orders of roughly around 300,000, which is extremely a success. So, we're evaluating that. We see a lot of opportunities as we continue to expand and grow into the protein space mainly in Finland, where a FAST protein snack portfolio is one of the top selling brands.

And with this -- this protein line, we are able to increase our overall margin profile versus the prior product. So the team is doing a great job. We will continue to evaluate that as we continue to grow in scale.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Okay, thanks and best of luck in the remainder of Q4.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Jeff.

Operator

(Operator Instructions). Our next question comes from the line of Jeffrey Cohen with Ladenburg Thalmann. Please proceed with your question.

Q - Jeffrey Cohen {BIO 15765438 <GO>}

Hi, John and Edwin, how are you?

A - John Fieldly {BIO 17560616 <GO>}

Hello. Excellent, Jeffrey, doing well.

Q - Jeffrey Cohen {BIO 15765438 <GO>}

Just one follow-up on Jeff's question, can you talk about number of SKUs now in -- your statement on the FAST line and then talk about SKUs on the protein line? As far as actual numbers, I think you have at the moment two SKUs that you've introduced in the US?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. We have, we have two flavors now currently available on Amazon. We're also looking at additional flavors to further drive our variety of offerings there. So, we're continuing to evaluate the supply chain of importing them into the US, obviously is challenging. So we don't want to drive too much scale, but we do want to build our consumer following and that's what the teams are doing right now and we look into 2022 of potential rolling out additional channels of opportunity once we can produce locally and really drive efficient margin profile to further invest in the brands, the FAST brand in the US.

Right now in Finland, it's the -- they launched an initial RTD protein line which is an indulgence product that tastes phenomenal. The team is extremely excited about that. Initial rollout has been positive. Comes in three great flavors currently and we'll continue to evaluate that. And as it continues to -- there is obviously synergistic opportunities to further scale in other markets as we grow, health-minded consumers, it's the complementary product to Celsius and we'll continue to evaluate.

Q - Jeffrey Cohen {BIO 15765438 <GO>}

And would you anticipate manufacturing in the US in 2022?

A - John Fieldly {BIO 17560616 <GO>}

We anticipate manufacturing in the US in 2022 with the protein snack portfolio, which is mainly the bars. We're evaluating the protein RTDs with some of our local production as well. So those are initial businesses and the early entities in the US, but it is definitely something the team is currently evaluating.

Q - Jeffrey Cohen {BIO 15765438 <GO>}

Okay, got it. And looking for a little -- further commentary on the cooler front, any anticipated goals or aspirations for Q4 or for 2022 as far as your aggregate numbers?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, I mean, if you look at where our coolers, we -- in the first 9 months of this year we placed over 900, so 400 just in Q3 alone. So, we anticipate that momentum to continue to increase. It's very important. We don't want to over push out coolers, we want to make sure these coolers are placed in the right location. So, it's more of a methodical approach, but we are getting a lot more requests with the success that they're seeing, so we place a few coolers within a distributor, they see the success and it's really a partnership and then we work together and really get into their top 20 accounts -- top 20% of their accounts. We would love to have great coolers in great placements there. So, if you see a Celsius cooler out there. We've got some great new designs coming with our logo on the front and they look extremely well and they sell extremely well, so grab a cool Celsius. If you see one.

Q - Jeffrey Cohen {BIO 15765438 <GO>}

And then lastly, John, any updates on US flavors in SKUs, should we expect more or will they winding [ph] out in future?

A - John Fieldly {BIO 17560616 <GO>}

You're talking in regards to the the Vibe line?

Q - Jeffrey Cohen {BIO 15765438 <GO>}

Yes.

A - John Fieldly {BIO 17560616 <GO>}

Yes. Our Vibe line has done extremely well. Our Peach 5 and our Tropical Vibes has been one of our top sellers in the initial launch -- will be rolled out with new innovative flavors. We expect -- continue that strategy and we'll be coming out with a new Vibe this summer. So, we're not going to disclose the flavor yet, but do anticipate a new Vibe coming that's going to taste great and amazing and we'll have

a lot of great -- a great marketing strategy behind that which is innovative and really connects with consumers in a meaningful way.

Q - Jeffrey Cohen {BIO 15765438 <GO>}

Super. Thanks for taking my questions. Congrats on the quarter.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Jeffrey.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thanks.

Operator

Our next question comes from the line of Anthony Vendetti with Maxim Group. Please proceed with your question.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Thanks, good morning, John. Good morning, Edwin. How are you?

A - John Fieldly {BIO 17560616 <GO>}

Good morning.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Good morning.

A - John Fieldly {BIO 17560616 <GO>}

Doing excellent.

Q - Anthony Vendetti {BIO 1504352 <GO>}

So just a couple of questions on the store fronts or the doors, Edwin, did you say you're at 118,000 at this point. And how many were added this quarter?

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Yes, yes, that's correct, Anthony. We're -- storefront were up to 118,000. We have -- the stores that were added during the -- just we said what -- that we're added year-to-date. That was a number that was about a -- was a 40% increase that we had in the greater store count this year.

A - John Fieldly {BIO 17560616 <GO>}

Correct.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

There is lot of opportunities on further expansion there in new doors. So, I think that's a great area. The team is working hard. We have a great key accounts team that's focused on new distribution in all channels of trade, obviously the biggest opportunity we see currently is in the convenience channel and really leveraging the DSD. Just keep in mind, before our key accounts team is more handling the national accounts, but now leveraging our DSD partners, we're able to activate and work with the local, regional chains where these DSD partners have local relationships.

So, we're excited about that and that's a big initiative through the rest of this year and into 2022.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Okay and then just on the DSD front, with you -- you had, I believe 224 regional DSD partners and that covers 92% of the US counties that you're currently serving. Is that the right number?

A - John Fieldly {BIO 17560616 <GO>}

That is correct. That is the right number. Then we had the largest increase in DSD partners in the third quarter really sign up. Keep in mind, once we sign these distributors, it does take some time to get product to them, product through their warehouse, educate their team members and really optimize the accounts, the network and the distributors. So we do new product launches. It's the education process. So it does take time, but it was the largest quarter. The increase in distribution partners and we are about 92% of all counties in the US are now covered.

So, large portion of the population is covered and now it's -- the teams are working on converting our key accounts over to DSD. And really, we're in the optimization phase as well as bringing on new accounts. So, and that's why you saw, I think the -- when you look at the great growth we had in our DSD network was up over 400% for the quarter and up sequentially as well, so great, great opportunities there as we continue to execute and optimize.

Q - Anthony Vendetti {BIO 1504352 <GO>}

And then just on the supply chain. I know you talked about the cans and and the trouble getting some of those from overseas. So, you had to source some of those here in the US on the spot market, you said you have enough right now, but what about the freight issue. Is do -- from what we are hearing, this is industry wide across a lot of industries, not just the consumer packaged good industry or the drink industry right, how are you planning to deal with that of the rest of this year and into 2022, if it continues to be an issue?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. No. Great question. You have to really on the scale of the business. I mean, obviously, if we were at a larger scale and we weren't seeing our growth rates where they are, we would have more of a material effect on our freight that we're seeing on the overall general nationwide cost increases of freight. I mentioned quarterly DAT was about 20% overall. Keep in mind we were going from two warehouses, now it's - we're migrating to six warehouses where when we were running at two warehouses, we're bringing on DSD as well. We are shipping a lot of product what they call less than a truck. It's called LTL. So, that is much higher cost of shipping product around the country and we're shipping our long hauls as well on LTL less than a truckload.

So, once we move to this orbit model and we bring on our distributors, our distributors can take full truckloads. So, not only are we shipping a full truck opportunity as we continue to optimize these distributors, we're shipping that truck at a lower -- at a lower -- shorter distance. So there is a lot of synergistic benefits on freight. Just as we continue to scale and grow and gain that leverage versus more of a mature business in this current environment with the increases in freight that the overall industry is receiving.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Now, that's very helpful and then just what you do -- did you say or did Edwin say, there was a one-time cost that impacted this quarter before the movement from these 2 to 6 warehouses?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, I stated that as -- calculating it roughly around 3% and that's really associated when we are moving from two warehouses to six warehouses and we're really optimizing in the fourth quarter as well, just keep that in mind, we're not fully optimized in the fourth quarter. We'll continue to optimize in Q1 and Q2, but when we move to six orbits, we increased our inventory levels, we're still shipping longer, longer -- longer loads of -- longer lead times and longer distances as the inventory really optimizes. We have a variety of flavors, as we all know. So, it's very important that we have all the flavors at each warehouse in order to be able to ship very efficiently. So, that's why you saw our inventory levels increase at the end of September and there's further optimization there. Go ahead, Edwin [ph].

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Yeah, no. John I just wanted to add in that sense as we establish like you're saying the additional orbits or warehouses. Yeah, there has been some incremental into our warehouse freights and moving and redeploying some of the inventory to then get the synergies or the benefits going forward. So, I think that's what we were alluding to earlier.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Okay, great, thanks very much guys. Appreciate the color.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Anthony.

Operator

Our next question comes from the line of Sean McGowan with ROTH Capital. Please proceed with your question.

Q - Sean McGowan {BIO 1495825 <GO>}

Thank you, good morning guys. I got couple of questions surrounding the idea of what is normal going forward. When you said, you can get back to pre-COVID margins, is that to suggest that you could -- what you were putting up before, let's say the first quarter of COVID is that what you aspire to get to or can all of the economies of scale and everything get you well beyond that? So, kind of what do you consider to be normalized gross margins now ex freight?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, I think, well our margins include freight. So, I mean if you look at it that way, we anticipate to get back around like that 46%-47% margin profiles that we had in 2020. I think would be an area of just currently as we continue to optimize. But, as we gain more scale we can, we anticipate to be able to go north of that, but we're also looking at these transitory cost, so we are keeping that in mind as well. So at the timing of those decreasing and getting back to more normalization. But, looking on a normal profile, I would say like mid to upper 40s is kind of an area we feel we can get back to you. I don't know, Edwin you want to.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Yeah, no, I agree with that. To me, it's more of the timing, because I fully agree with John that we'll be able to get to that, it's just more of the timing, when that normalization occurs and we start getting all those benefits perhaps, towards the back end of 2022, that type of thing, but to me. Yeah, without a doubt, we can get to that, it's just more of the timing issue.

Q - Sean McGowan {BIO 1495825 <GO>}

Yeah. Great. All right, that's helpful. And just to clarify, when you give some of those color commentary on what the various puts and takes were to the gross margin, do we -- should we be interpreting that as those are like when you say 3% hit, that's 3 percentage points off of the gross margin, is that the way you interpret that?

A - John Fieldly {BIO 17560616 <GO>}

Yeah, that's correct. I mean that total adjustment. If you look at the increase in -- really the cans and some of the other input costs as well as the freight of 3%, that's how we're arriving at the 7% overall.

Q - Sean McGowan {BIO 1495825 <GO>}

Great, thank you. And then last thing again trying to figure out what's normal. To what extent is the inventory build here, a way of dealing with logistical and supply chain challenges as opposed to just feeding consumer demand and retail expansion. How much overbuild is there in the inventory to try to smooth out some of those shipping challenges?

A - John Fieldly {BIO 17560616 <GO>}

There is not, we're not building, at this point and in the third quarter, we were building to drive efficiencies in margins. We were building inventory to drive and fulfill demand, so that's going to -- the efficiencies are going to come down the road, maybe as we look at 2022. But, right now, I mean we were -- our inventory does have a mix of spot rate, product cans, we have import cans and it's a -- more of a -- at a higher level of costs, when you look at the overall costs on a per-case basis. So, those are things that are currently but we're building our inventories just to justify and build it. The six warehouses that we're bringing on board as we optimize our six orbit model in addition to meet the growing demand and the anticipated new stores coming on in the future as well as the optimization of the DSD network.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Yeah. And from my perspective, it also -- there's always two ways to look at this base, like I say, looking back and looking forward and looking forward, based on, based on hand some compensations, we are probably like around a 120 days. So again, something that it's not, it's something that's still within the range of optimal that we're looking for.

Q - Sean McGowan {BIO 1495825 <GO>}

Okay, thank you very much.

Operator

We have run out of time for questions, I'd like to hand the call back to Mr Fieldly for closing remarks.

A - John Fieldly {BIO 17560616 <GO>}

Thank you. On behalf of the Company, we'd like to thank everyone today for their continued interest and support. Our results demonstrates our products are gaining considerable momentum, as we are capitalizing on today's global health and wellness trends and the transformation taking place in today's energy drink category.

Our active lifestyle position is a global position with mass appeal, we're building upon our core and leveraging opportunities and deploying best practice. We have a winning portfolio strategy and team and a large, rapidly growing market that consumers want. We believe we'll be able to navigate through the challenges ahead as a results of the COVID-19 and we are well positioned to thrive in the transformation of today's energy drink category.

In addition, I'd like to thank all of our investors for their continued support and confidence in our team. Thank you, everyone. Have a safe day, stay healthy and grab a Celsius.

Operator

Ladies and gentlemen, this does conclude today's teleconference. Thank you for your participation, you may disconnect your lines at this time and have a wonderful day.

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